

THE DIRECTORS OF CIC INSURANCE GROUP LIMITED ARE PLEASED TO ANNOUNCE
THE AUDITED GROUP RESULTS FOR THE YEAR ENDED 31 DECEMBER 2017



CONSOLIDATED STATEMENTS OF PROFIT OR LOSS AND OTHER
COMPREHENSIVE INCOME

	2017 KShs'000	2016 KShs'000
Gross written premiums	14,947,094	12,366,319
Gross earned premiums	14,336,192	11,814,012
Less: Reinsurance ceded	(2,241,195)	(1,782,711)
Net earned premiums	12,094,997	10,031,301
Fees and commission income	1,023,407	649,682
Investment income	1,543,581	1,301,671
Other gains	704,373	509,385
Foreign exchange gain	233,904	525,321
Total income	15,600,262	13,017,360
Claims and policyholders' benefits expense	(7,856,468)	(6,469,473)
Commissions expense	(2,122,470)	(1,538,723)
Operating and other expenses	(4,914,736)	(4,606,009)
Loss on net monetary position	(187,478)	(297,479)
Total expenses	(15,081,152)	(12,911,684)
Share of results of associate	46	8,712
Profit before taxation	519,156	114,388
Taxation (credit)/charge	(40,683)	73,797
Profit for the year	478,473	188,185
OTHER COMPREHENSIVE INCOME		
Surplus on revaluation of buildings	21,914	38,824
Forex gain/loss on translation	(99,594)	(256,413)
Fair value gain/(loss) on available-for-sale investments	(47,722)	(11,968)
Total comprehensive income for the year	353,070	(41,372)
Earnings per share (KShs)	0.18	0.07

ABRIDGED CONSOLIDATED STATEMENT OF CASH FLOWS

	2017 KShs'000	2016 KShs'000
Net cash generated from operating activities	1,764,219	455,474
Net cash used in investing activities	(2,257,631)	537,646
Net cash used in financing investments	(909,073)	(925,148)
Effect of foreign exchange translations	(99,594)	(256,413)
CASH AND CASH EQUIVALENTS AT THE BEGINNING OF THE PERIOD	4,379,452	4,567,893
CASH AND CASH EQUIVALENTS AT 31 DECEMBER 2017	2,877,373	4,379,452

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

	Share capital KShs'000	Retained earning/ other reserves KShs'000	Due to Equity holders to the parent KShs'000	Non-controlling interest KShs'000	Total equity KShs'000
At 1 January 2017	2,615,578	4,724,925	7,340,503	138,960	7,479,463
Acquired through business combination	-	109,874	109,874	(11,726)	98,148
Tax on transfer to retained earnings	-	(34,500)	(34,500)	-	(34,500)
Dividends paid - 2017	-	(274,633)	(274,633)	-	(274,633)
Additional investment by minority	-	-	-	15,560	15,560
Profit for the year	-	489,485	489,485	(11,012)	478,473
Other comprehensive income	-	(68,188)	(68,188)	(57,214)	(125,403)
At 31 December 2017	2,615,578	4,946,963	7,562,541	74,568	7,637,108

The audited financial statements were approved by the Board of Directors on 14th March 2018.

FINANCIAL HIGHLIGHTS

- Gross written premiums increased by **21%** from **KShs. 12.3 b** in 2016 to **KShs. 14.9 b** in 2017.
- Total assets increased by **13%** to **KShs. 30.4 b**.
- Profit before tax increased to **KShs. 519 m** from **KShs. 114 m**.

2017 was a difficult year especially in Kenya where we witnessed depressed economic environment for the better part of the year. This notwithstanding, the group realized commendable top-line growth and notable improvement on the bottom line.

DIVIDENDS

The directors recommend the payment of a first and final dividend of **Ksh. 0.12 per share** totalling to Ksh 313,869,000 (2016 – 274,635,699). The dividend is subject to shareholders' approval and payment will be subject to withholding tax. The payment will be made on or about **23rd June 2018** to the shareholders registered at the close of business on **21st May 2018**.

ANNUAL GENERAL MEETING

Notice is hereby given that the Annual General Meeting of CIC Insurance Group Limited will be held on **Wednesday 23rd May 2018**.

FUTURE OUTLOOK

With the implementation of Enterprise Resource Planning (ERP) and Customer Relationship Management (CRM) as well as continued enhancement of management of claims costs, the board is confident that the group is poised for strong and improved future performance. We also expect significant growth of our businesses in the region (especially Uganda) resulting in greater contribution to the group results.

MESSAGE FROM THE DIRECTORS

These financial statements are extracts of the financial report of the Group which were audited by Ernst & Young and have received an unqualified opinion. A full set of these financial statements will be available at our registered office at CIC Plaza and online at www.cic.co.ke for inspection after approval by members at the Annual General Meeting. The financial statements were approved by the Board of Directors on **14th March 2018** and were signed on its behalf by:

Japheth Magomere, OGW – Group Chairman

Tom Gitogo – Group Chief Executive Officer

Philip Lopokoityit - Director

★ **WINNER - Group Life Company** of the Year (AKI Agents of the Year Award) ★

CIC INSURANCE GROUP LIMITED
CONSOLIDATED STATEMENT OF FINANCIAL POSITION

	2017 KShs'000	2016 KShs'000
ASSETS		
Property and equipment	1,204,738	1,271,171
Intangible assets	73,109	68,246
Investment properties	6,686,483	6,051,288
Goodwill	98,148	-
Investment in associate	137,924	182,610
Government securities	6,417,699	4,929,360
Loans receivables	821,784	977,738
Deferred taxation	764,759	487,775
Equity investments	1,261,068	910,652
Deposits, commercial paper and corporate bonds	1,967,842	2,282,066
Deferred acquisition costs	592,713	473,033
Receivables arising out of reinsurance arrangements	1,429,216	944,172
Receivables arising out of direct insurance arrangements	1,527,331	1,421,193
Reinsurers share of liabilities and reserves	2,252,569	2,040,889
Taxation recoverable	-	148,808
Other receivables	249,650	244,264
Due from related parties	45,886	103,300
Deposits with financial institutions	4,836,107	3,780,495
Cash and bank balances	263,494	611,463
TOTAL ASSETS	30,630,520	26,928,523
EQUITY		
Share capital	2,615,578	2,615,578
Share premium	162,179	162,179
Statutory reserve	1,112,043	1,036,986
Revaluation surplus	128,423	109,368
Translation - Fair value revaluation	(417,893)	(378,372)
Fair value reserve	(265,610)	(217,888)
Retained earnings	4,227,820	4,012,652
Non-Controlling interest	74,568	138,960
TOTAL EQUITY	7,637,108	7,479,463
LIABILITIES		
Insurance contracts liabilities	4,697,857	3,751,563
Unearned premiums reserve	4,510,237	3,959,542
Actuarial value of policyholder liabilities	4,268,880	3,563,995
Deposit administration contracts	2,113,915	1,279,674
Unit linked contracts	536,926	458,536
Payables arising from reinsurance arrangements and insurance bodies	132,403	116,575
Other payables	949,751	650,474
Dividend payable	-	34,607
Taxation payable	43,341	-
Deferred taxation	598,966	548,073
Borrowings	5,106,529	5,086,021
TOTAL LIABILITIES	22,993,412	19,449,060
TOTAL EQUITY AND LIABILITIES	30,630,520	26,928,523

GROSS WRITTEN PREMIUM BY COUNTRY

